Date:	**12/10/2025 2:34:16 PM**
From:	**"Ishii, Adena" AIshii@berkeleyca.gov**
Subject:	**Request to all Charter Officers**
Attachment:	**FY 2027 & FY 2028 Budget Instructions_Final.pdf;**

Dear Charter Officers,

I'm reaching out regarding the fiscal challenges our city faces in FY 2027 and FY 2028. The General Fund structural deficit is currently estimated at $28 million in FY 2027 and $29 million in FY 2028, amounts that may grow following baseline adjustments. To address this deficit, the City Manager has asked each department head to look at 10% reductions to their budgets.

I seek your collaboration and support, as we all must do our part to help balance and right-size the city budget. After discussions with the Budget and Finance Committee, **I am requesting that all Charter Officers also analyze their FY 2027 and FY 2028 budgets and prepare General Fund reduction plans equal to 10% of their budgets.**

Attached is a copy of the full budget instructions provided to departments for reference. Once the baseline budget is developed, the City will move into the budget balancing phase. Below are some key deliverables for this phase in January 2026 that I would like us to align with:

- Budget Office provides updated FY 2027 and FY 2028 surplus/deficit estimates based on updated baseline and General Fund revenue projections
- Departments must prepare General Fund reduction plans equal to 10% of their budgets, net of any revenue loss associated with impacted positions
- All departments submit revenue proposals and preliminary balancing strategies

Please let me know if you or your staff have any questions about these instructions. I thank you all for helping our city through this challenging time. It's going to be tough, ***and*** I know we can make it through if we work together!

In partnership,

Mayor Ishii

Adena Ishii (*she/her)*
Mayor
Office of Mayor Adena Ishii
City of Berkeley
2180 Milvia Street, 5th Floor

Berkeley, CA 94704
(510) 981-7100
aishii@berkeleyca.gov
on Huichin Ohlone Land

ADENA ISHII
MAYOR OF BERKELEY

Connect with us!

Office of the City Manager

FY 2027 & FY 2028
BIENNIAL BUDGET

BUDGET DEVELOPMENT INSTRUCTIONS

Prepared By:

City Manager's
Office of Budget and Fiscal Management

October 2025

Table of Contents

Overview and Purpose	Page 4
FY 2027 & FY 2028 Budget Development Key Dates and Deliverables	Page 5
Council Fiscal Policies	Page 6
Assess Revenue and Funding Sources	Page 7-8
Fund Forecasts	Page 8-9
FY 2027 & 2028 Baseline Budget	Page 10-12
Balancing the FY 2027 & FY 2028 Biennial Budget	Page 13-14
Budget Development & ERMA Budget Module	Page 15-16
Department Narratives	Page 17-18
Capital Improvement Program (CIP)	Page 18
Miscellaneous Information	Page 18
Questions & Assistance	Page 18

Overview and Purpose

The City Charter requires the City Manager to present an annual estimate of the upcoming year's financial needs and that the Council adopt an Annual Appropriations Ordinance that sets expenditure limits by fund. For Fiscal Year (FY) 2027 and 2028, the City will again develop a Biennial Budget.

The City of Berkeley's Biennial Budget is an important document. It reflects not only our financial plan for the next two fiscal years, but also our community's priorities, Council's adopted policies, and the City's strategy for balancing fiscal responsibility with high-quality and varied services.

This cycle presents significant challenges. The City faces a projected structural General Fund deficit that is currently estimated at $28 million in FY 2027 and $29 million in FY 2028, with potential increases following baseline adjustments. Additional pressures include:

- Rising Pension and Healthcare costs
- Upcoming Labor Contract Negotiations
- Escalating Operating Expenses (e.g., Insurance, Utilities)
- Inflation
- Shortfalls in enterprise and other funds (e.g., Marina, Parking, Building Maintenance)
- Behavioral Health Services Act Transition
- Delayed Facility Maintenance
- Unfunded/Underfunded Liabilities
- Uncertainty in Federal Funding

One-time solutions deployed in prior fiscal years to balance the City's budget are not sustainable; therefore, this budget cycle prioritizes aligning ongoing expenditures with ongoing revenues.

To meet these challenges head-on, the City is launching the budget process earlier than in previous years. Budget instructions, typically released in January, are now being issued in October to allow more time for strategic analysis, innovation, and refinement. It reflects the desire to provide an open and extensive discussion of the budget and greater opportunity for input.

The goal is to submit a Biennial Budget that:

- Reflects realistic baseline costs and revenues.
- Identifies sustainable reductions and operational efficiencies.
- Proposes new or adjusted revenue opportunities.
- Aligns with the City's Strategic Plan and Council priorities.
- Builds trust through clear communication and documentation.

The City Manager will present a proposed balanced budget to Council on May 12, 2026. Council will adopt the two-year budget on June 30, 2026, along with the Annual Appropriations Ordinance for FY 2027.

FY 2027 & FY 2028 Budget Development Key Dates and Deliverables (Tentative)

Date	Agenda	Action/Topic
October 1-17, 2025		Human Resources and Budget Office work on Position Control
October 6-10, 2025		Budget Office creates GF non-personnel prior baseline and actuals reports for departments to review
October 17-21, 2025		Budget Office develops initial position control in Budget Projection module and runs PCN reports for departments
October 22, 2025		Budget Office issues FY 2027 & FY 2028 Biennial Budget Instructions
November 5, 2025		Departments return Position Control changes/corrections to Budget Office
November 26, 2025		Departments' initial GF non-personnel budget review due to Budget Office Departments initial special funds (facing deficits) non-personnel and revenue review due to Budget Office
December 2025		Budget Office develops FY 2027 & FY 2028 Baseline Budget (salary, benefits, and non-personnel) incorporating outcomes from initial reviews of position control, GF non-personnel, and special funds
January 5-6, 2026		Budget Office provides updated FY 2027 & FY 2028 surplus/(deficit) estimates based on new baseline
January 5-6, 2026		Budget Office issues reduction targets and associated balancing strategies worksheets
January 12-30, 2026		**Department Budget Entry Level in ERMA Open**. No changes to the General Fund are allowed.
January 26, 2026		Preliminary Special/Other Funds Five Year Forecast Due to Budget Office Fee Proposal Report Guidance issued by the Budget Office
January 30, 2025		Submit Preliminary Budget Reduction Proposals for General Fund and Special Funds that are facing deficits, along with all other Budget Balancing Strategies to Budget Office
February 2, 2026		Fee Information Due to Budget Office
February 2026		City Manager Meetings with Departments Budget reduction plans and other strategies evaluated by Budget, Finance, HR, and CMO
February 2-March 27, 2026		**Department Head Budget Entry Level in ERMA Open**
February 16 – March 16, 2026		Updates to Capital Improvement Plan Due to Budget Office. CIP Budget and Projects Submittals (Proposed Project Detail pages) due in Gravity
March 2 – 6, 2026		Budget Office compiles outcomes from City Manager meetings with departments and refine budget projections
March 12, 2026		Biennial Budget discussion #1: Budget and Finance Policy Committee
March 13-27, 2026		Finalize Proposed Budget Recommendations – Budget Office Department Narratives, Organizational Chart, Strategic Plan due to Budget
March 24, 2026	Action	Council Meeting – Budget Referrals
March 30-April 24, 2026		Proposed Budget and CIP Book Production (Budget Office) **Proposed Budget Level Open in ERMA**
TBD in April 2026		Biennial Budget discussion #2: Budget and Finance Policy Committee Discuss budget reduction plan with City Council
April 2026		Make updates to Proposed budget based on Budget and Finance Policy Committee discussion and any other new and relevant information/data
April 21, 2026	Action	Public Hearing on CDBG & ESG Annual Action Plan and proposed funding allocations to community agencies
April 27, 2026		Proposed Budget Books and Capital Improvement Books distributed to City Council with May 12, 2026 Agenda Packet
May 12, 2026	Action	Council Public Hearing-Proposed Biennial Budget and Capital Improvement Program
May 19, 2026	Action	Council Public Hearing on Proposed Fees, Biennial Budget, and Capital Improvement Program
June 9, 2026		Council recommendations on budget due to City Manager **Adopted Budget Level Open in ERMA (for Budget Office Use Only)**
June 16, 2026	Action	Council discussion on budget recommendations
June 30, 2026	**Action**	**Adopt FY 2027 & FY 2028 Biennial Budget, CIP, FY 2027 Appropriation Ordinance, and Tax Rates**

Council Fiscal Policies and Budget Development

The City Council's adopted fiscal policies set the framework for the development of the upcoming budget and should be used as a guide when developing the FY 2027 & 2028 budget. These policies include:

1. Focusing on the long-term fiscal health of the City by adopting a two-year budget and conducting multi-year planning.
2. Building prudent reserves with a target range of between 20 to 30% of General Fund revenues.
3. Developing long-term strategies to reduce unfunded liabilities.
4. Controlling labor costs while minimizing layoffs and promoting retention of City staff.
5. Primarily allocating one-time revenue for one-time expenditures (e.g., capital investments and deferred maintenance).
6. Requiring enterprise and grant funds to balance and new programs to pay for themselves.
7. Any new expenditure requires new revenue or expenditure reductions.
8. Property transfer tax:
    a. When possible, allocate excess property transfer tax over the baseline to short-term operational needs, General Fund reserves and the City's capital infrastructure plan.
    b. Increase the property transfer tax baseline for operational needs with a permanent adjustment to $16.0 million beginning in fiscal year 2025
9. As the General Fund subsidy to the Safety Members Pension fund declines over the next several years, the amount of the annual decrease will be used to help fund the new Police Employee Retiree Health Plan.
10. Allocating annual savings derived from the prepayment of the annual CalPERS unfunded liability payments to the City's Section 115 Pension Trust up to $5.5 million per fiscal year or as advised by the City's actuarial and staff.
11. Allocating any additional revenue earned from investments that is over the annual (fiscal year) baseline of $6 million in the following manner:
    a. One-third to the Section 115 Pension Trust up to $5.5 million per fiscal year, or as advised by the City's actuarial and staff,
    b. One-third to General Fund reserves up to 30% of General Fund revenue, or as recommended by Council policy, and
    c. One-third to address the City's capital infrastructure plan.

Assess Revenue and Funding Sources

In previous budget developments, staff have focused more towards refining the expenditure side of the budget, ensuring funds are available to support planned costs. **However, effective budgeting begins with a clear understanding of available revenues, as well.** Understanding the funding sources available, developing proper forecasting, looking at revenue opportunities, fees, and cost recovery, and updating projected revenues helps allocate resources wisely and avoid financial shortfalls, which often leads to extensive use of fund balances and reliance on discretionary revenue sources, such as the General Fund. Proper planning ensures that essential services are funded, and financial stability is maintained.

Funds
During this budget cycle, the first round of revenue projections using FY 2026 first quarter actuals. will be used for the initial review and refinement of departmental budget occurring from October 2025 to November 2025.

The second round of revenue projections using FY 2026 second quarter actuals will be used during the department development of budget balancing strategies in January and February 2026.

The Budget Office is working with the Finance Department on updating General Fund revenue projections for FY 2027 & 2028. Departments must analyze trends for all baseline revenues and revise estimates for the funds they manage. The Budget Office and Finance Department will support departments and Fund Managers to ensure revenue estimates are accurate and verifiable.

For any fund projecting a deficit, departments must submit a structural balancing plan. This includes sustainable revenue increases and/or expenditure reductions that do not impact the General Fund. Special fund deficits create direct liabilities for the General Fund; therefore, balancing solutions must be implemented without shifting burdens to other departments or citywide resources. The status of special funds will be reviewed during departmental meetings with the City Manager.

Fees
As part of the City's strategy to strengthen revenues and maintain cost recovery, departments should evaluate current fees and propose adjustments where appropriate. Fee proposals will be reviewed in alignment with citywide policy to ensure fees and taxes reflect the full cost of service delivery.

- Fee Increase Report Submittal Guidance: January 2026
- Fee Information due to Budget Office: February 2026
- Public Hearing on Fee updates: May 2026

Grants
Grants play a critical role in the City's budget by bridging funding gaps and advancing unfunded initiatives. However, departments must carefully assess the long-term viability of grant-funded programs. Consider:

- Sustainability after the grant ends, especially if staffing or service expectations are built around it.
- Administrative burden on existing staff and compliance costs
- Matching fund requirements, which may strain the General Fund or divert resources from other priorities.

For this budget cycle, a thorough review of the City's grants should be conducted. If Federal or State priorities shift, awards and reimbursements may be delayed, reduced, or rescinded. This creates vulnerability for the City and heightens the pressure on the General Fund.

Other Revenue Opportunities
Departments should begin coordinating with CMO and Finance beginning in November 2025 on potential 2026 ballot measures and tax-related proposals.

Five-Year Fund Forecast

The Five-Year Forecast provides a multi-year view of revenues and expenditures so that Council can evaluate the impact of policy choices on the long-term fiscal health of the City. Elements of the Five-Year Forecast include fund balance, baseline revenue projections, personnel and non-personnel expenditure projections, and capital expenditures.

Departments managing funds projecting a deficit must submit preliminary forecasts by November 26, 2025, and updated forecasts by January 26, 2026.

For all other funds on the list, forecasts are due January 26, 2026.

Fund Managers are responsible for monitoring the health of their assigned operating funds through the implementation of a Five-Year Forecast in conjunction with the Budget Office. Fund Managers should work with other departments that may expend from the same fund, and coordinate increases or reductions in such spending. Below is a list of departments that are assigned as Fund Managers for specific funds. The forecast will be part of the department's presentation to the Budget and Finance Committee and will be included in the Budget Book.

ERMA Fund #	Fund Name	Fund Manager
011	General Fund	City Manager
116	Paramedic Assessment	Fire
125	Camps Fund	Parks Recreation & Waterfront
134 135	Measure BB	Public Works
138	Parks Tax	Parks Recreation & Waterfront
142	Street Light Assessment	Public Works
147	UC Settlement	City Manager
156	Health Realignment	Health, Housing, and Community Services
158	Mental Health Realignment	Health, Housing, and Community Services
164	Measure FF (Public Safety)	Fire
166	Measure FF (Street Repair)	Public Works
312	Public Health	Health, Housing, and Community Services
316	Mental Health	Health, Housing, and Community Services
501	Capital Improvement	City Manager
601	Zero Waste	Public Works
608	Marina Enterprise	Parks Recreation & Waterfront
611	Sanitary Sewer	Public Works
616	Clean Storm Water	Public Works
621	Permit Service Center	Planning
627	Off Street Parking	Public Works
631	Parking Meter	Public Works
636	Building Management (1947 Center St.)	Public Works
671	Equipment Replacement	Public Works
672	Equipment Maintenance	Public Works
673	Building Maintenance	Public Works
674	Central Services	Finance
680	IT Cost Allocation	DoIT

FY 2027 & FY 2028 Baseline Budget

The Baseline Budget Review

Historically, the City's baseline budget starts with the prior year's adopted budget, excluding one-time allocations. **For FY 2027 & FY 2028, our goal is to align budgets with actual expenditures, eliminate inefficiencies, stop capturing outdated budgets and spending patterns.** The goal is to ensure the budget that is adopted reflects true service costs and strategic priorities. A more accurate baseline reduces adjustments during the fiscal year (AAO#1 and AAO#2) and limits the interruption in projects, programs, and services.

Key Phases of Baseline Review

October 2025 and November 2025

- Budget Office captures live payroll snapshot and generates Salary & Benefits projections.
- Personnel Review: Departments review Position Control (saved in Teams Channel) and submits changes to Budget; Budget processes corrections in Salary and Benefits Projection

Any corrections or edits to these reports should be submitted to the Budget Office using the forms provided in the ERMA Budget Module Instructions and saved in Team Channel If there is a change that needs to be made to live Position Control, departments will need to contact Human Resources to make those corrections. The Budget Office can only make corrections to the salary and benefit projections and not live Position Control.

Additional steps have been added to this biennial budget process before the Budget Office develops the baseline budget.

November 2025

- Non-Personnel Review: Departments update FY 2027 & FY 2028 operating budgets based on actuals. The Budget Office will provide the General Fund template to be used for this exercise and will be saved in the Teams Channel. Departments **must** justify any amount exceeding the Budget Office amounts. Due November 26, 2026.
- Other funds that are projecting deficits must submit similar templates that are used in the General Fund review and submit it to Budget Office. Due November 26, 2026.
- Departments should do the same analysis for all funds that make up their budget and should be used to update when Department Entry Level is open in ERMA.
- Revenue Review: Departments assess and update revenue projections (see "Assess Revenue and Funding Sources").

December 2025

- Budget Office develops baseline budget incorporating outcomes from October and November exercise.
- Initial baseline budgets and Salary & Benefits projections are reviewed collaboratively with departments.

It is important to remember that the baseline budget is a starting point to determine the costs to continue current levels of service. It is not a guarantee to continue funding at this level. In fact, due to the challenges already mentioned in this document, significant reductions are anticipated.

Baseline Expenditure Assumptions

Personnel Expenditures
The personnel budgets are built using the current personnel costs as reflected in live payroll (as of October 16, 2025), adjusted to include known equity and cost of living adjustments per current labor contracts, as well as updated benefit rates. Benefits reflect (1) projected increases in health and dental costs; (2) estimated CalPERS retirement rate contributions; (3) revised Retiree Medical benefit rates; (4) revised Workers' Compensation rates; and (5) other benefits and add pays.

As these amounts are calculated using the ERMA Salary & Benefit Projections, departments **will not** be able to change personnel-related items (object range 511110 – 530110) with the following exceptions allowed for **non-general fund**:

- Hourly Salaries (512110 and 512120)

- Overtime expenditures (513110 and 513140)

As a reminder, the baseline budget includes the continuation of not funding 44.4 vacant positions identified in the FY 2026 Adopted budget. Any adjustments to salary savings will be made by the Budget Office pending direction from the City Manager.

Non-Personnel Costs
The non-personnel baseline of the General Fund and other funds projecting deficits will already be updated to reflect the genuine cost of service by using historical actuals and not prior year adopted budget and incremental budgeting.

Non-personnel budget of all other funds should be updated following the template used to review and update the General Fund baseline. This can be done in the Budget Entry Level in ERMA.

The annual CIP Fund (Fund 501) allocation is also included. However, all other capital funding will be incorporated during the Department Entry Level and Department Head Level as we build the City's 5-Year CIP.

Community Agencies
To preserve funding allocated to Community Agency Grants, object codes 636110 and 636990 are no longer part of the rollup code. Changes to these accounts will be done by HHCS and Budget Office.

Internal Service Charges and Indirect Charges
Departments will not be able to adjust internal service charges (Object Range 670100 – 670240) as part of the baseline budget. Internal Service funds recover their operating costs through charges to departments for specific services. The FY 2027 and FY 2028 baseline internal service will reflect the FY 2026 Adopted Budget. The charges may change after the budget balancing exercise.

The internal service charges include:

- Facility Maintenance Charges: All departments housed in City-owned facilities are assessed a facilities maintenance charge. These assessments cover the costs for janitorial, building maintenance and property management needs at all City facilities, including departments occupying leased office space.

- Equipment Maintenance & Replacement: These charges are for maintenance and replacement of fleet vehicles and capital equipment.

- Information Technology Service Fund: This fund was set up to systematically modernize Citywide Technology infrastructure and safeguard the efficiency of our technology assets such as network infrastructure, network operations, enterprise services, database and GIS services, helpdesk, implementation, and ongoing support of technology applications. Each department is required to contribute based on annual budget times a ratio, which is the number of existing PCs within the department for hardware and based on the number of FTE equivalent for software and services to the total in the whole City.

- Central Services Fund: This internal service fund provides mail services to the entire City, including the pickup of incoming United States Postal Service mail, and the sorting and delivery of both USPS mail and interoffice mail to individual departments.

Indirect Costs

Indirect costs represent General Fund expenditures incurred by the City's support departments. Historically, these costs have been charged to Non-General Fund activities to reimburse the General Fund for costs incurred in support of these activities. While the City's current indirect cost plan reflects cost recovery rates for all departments and funds, only specific non-General Fund departments are assessed. Indirect cost amounts charged to Departments will be updated and reflected in ERMA object code 670210. Departments cannot change these accounts.

The Budget Office will periodically adjust these accounts to reflect changes in baseline personnel labor cost distributions. FY 2027 & FY 2028 baseline expects 22% to Parks, Recreation and Waterfront and Public Works, respectively and 24% to Planning. The Budget Office will update, and the percentage could change for FY 2027 and FY 2028 based on the FY 2024 published Indirect Cost Allocation Plan rates. The affected departments will be notified. Adjustments to the published IDC rates must be approved by the Finance Director and Budget Manager.

Debt

Debt service schedules should be reviewed to identify principal and interest expenditures for the upcoming fiscal year, ensuring all debt service costs are accurately reflected in the budget. The Budget Office, in coordination with Finance, will update Citywide debt service payments for FY 2027 and FY 2028, incorporating them into the baseline budget. However, departments are responsible for verifying that debt service payments related to their own obligations are updated correctly. This should be completed during the Budget Entry Level process in ERMA.

Transfers

Budget Office will review and update the Annual Transfers list.

Balancing the FY 2027 & FY 2028 Biennial Budget

As previously noted, the City faces significant fiscal challenges in this biennial budget cycle, with a projected structural General Fund deficit that are currently estimated at $28 million in FY 2027 and $29 million in FY 2028, figures that may grow following baseline adjustments. Balancing rising expenditures against limited revenues remains a difficult task. With this in mind, once the baseline budget is developed, the City will move into budget balancing phase.

Some key dates and deliverables for this phase are:

January 2026

- Budget Office provides updated FY 2027 and FY 2028 surplus/deficit estimates based on updated baseline and General Fund revenue projection.
- Departments must prepare General Fund reduction plans equal to 10% of their budgets, net of any revenue loss associated with impacted positions.
- Departments managing other funds that are projecting deficits must submit reduction plans sufficient to fully balance each fund in FY 2027. Target reductions will vary based on the size of each fund's projected shortfall.
- All departments submit revenue proposals and preliminary balancing strategies.

Budget Balancing Measures templates will be available on the Teams Channel.

February 2026
Departmental Meetings with the City Manager. Agenda will include:

- FY 2027–2028 baseline analysis
- General Fund reduction plans and balancing strategies
- New mandates and fee updates (if applicable)
- Special fund forecasts and capital projects
- Current and emerging fiscal challenges

March 2026

- Refine projections based on departmental strategies and City Manager meetings.
- Begin discussions with the Budget & Finance Policy Committee.
- Finalize Proposed Budget Recommendations.

April 2026 – June 2026

- Develop the Proposed Biennial Budget
- Continue engagement with stakeholders: CMO, staff, labor groups, Budget & Finance Committee, Council, and the community.
- Adopt a balanced FY 2027 & FY 2028 Biennial Budget

Other important factors happening throughout Budget Development

- Engage bargaining groups and employees for input and collaboration.
- Identify and implement operational efficiencies that yield real savings.
- Inventory City-owned land and properties:
    - Evaluate opportunities to relocate programs from external leased spaces to City-owned facilities.
    - Assess potential land dispositions that could generate one-time resources
      Lead: Public Works, in collaboration with CMO and Finance.

- Review Internal Service Funds for possible reduction in their budgets to lower General Fund charges
  Leads: Public Works, Information Technology, Finance, in collaboration with CMO/Budget
- Review and clean up existing contracts:
  - Liquidate expired or completed contracts.
  - Address rolled-over prior-year funding of contracts with annual budget

Final reductions are unlikely to follow an across-the-board approach due to varying operational and service delivery impacts. The City Manager will determine what to include in the proposed budget after reviewing all departmental reduction plans. The City Council will make the final determination on the adopted budget.

Budget Development & ERMA Budget Module

Purpose
The ERMA Budget Module will maximize the integration with the City's financial systems and provide greater control over elements of the budget process.

ERMA Budget Levels and Budget Entry Procedures
The Budget Module consists of a series of Budget "Levels" as follows:

- *Baseline Budget Level:* Created by the Budget Office, and is adjusted for known and estimated salary and benefit costs. If there are any known one-time items at this early stage of the budget process, those will be included in the baseline budget.
- *Department Entry Level Budget:* This is the level where Departments may modify their respective baseline budgets by moving appropriations among various spending categories. Departments may increase or decrease their budget by account codes. The City Manager's approval is required before departments change their General Fund baseline budget.
- *Department Head Budget Level:* This level allows Departments to modify their respective budgets under certain conditions such as direction from the City Manager, more refined Capital budget, new revenues, and expenditures stemming from previously unknown mandates or projects. Personnel changes requested during the Department Entry Budget Level should be reflected at this level.
- *Proposed Budget Level:* Departments can no longer make entries/changes at this Budget level. Only the Budget Office can work at this level. Only changes initiated by the City Manager's Office are allowed at this level.
- *Adopted Budget Level:* This is the final level of the Budget Development process. There should be no more changes occurring at this level.

Departments will modify their respective baseline budgets by moving appropriations among various spending categories within the Departmental Entry Level Budget. Departments may increase or decrease their budget by account codes. Departments cannot change their General Fund baseline budget. Any changes will be made by the Budget Office.

There are two methods for entering budget requests into the Central Budget Entry as follows:

1. Amount Entry: A flat dollar amount is entered as an account's requested budget.

2. Detail Entry (Preferred method): Detail lines are added for each account, and the requested budget reflects the total of all the detail lines.

Department should refer to the ERMA Central Budget Entry Instructions for guidance in developing their budgets in ERMA and may also contact the Budget Office for assistance.

Departmental users are authorized to access selected levels to complete their budget submissions. Each Budget Level has an access start and end date meaning that once the level(s) reaches its end date, Departments can no longer make changes.

ERMA Budget Level Schedule

Budget Level Status	Date
Department Budget Level Open	January 12 – January 30, 2026
Department Head Budget Level Open	February 2 - March 27, 2026
Proposed Budget Level Open	March 30 - April 30, 2026
Adopted Budget Level Open	June 1 – June 30, 2026

*Tentative and subject to change.
**Please contact the Budget Office for assistance if the department meeting with the City Manager is scheduled to occur prior to the budget close date in ERMA.

The Department Narrative

No later than March 27, 2026, Departments must provide the Budget Office with an updated department narrative. The template is similar to previous narratives and will be saved in the Teams Channel. The narrative consists of:

- Department Mission Statement
- Organizational Chart
- Department Overview highlighting department divisions, programs, and services provided
- Department Challenges in the FY 2027 and FY 2028 Biennial Budget
- Department Accomplishments that show case FY 2025 and FY 2026 accomplishments
- Significant Changes from prior year budget

This will be done on an online digital platform (Gravity), and instructions will be sent out detailing this at a later date.

The Strategic Plan

As part of the FY 2027 & FY 2028 budget development process, departments will include Strategic Plan projects and programs in the department's section of the Budget Book.

These projects and programs are both items carried over from the previous budget cycle (i.e., those that are not expected to be completed by June 30, 2026) and any new projects and programs proposed for the next two-year budget cycle. This will constitute the Strategic Plan update, which is a component of the biennial budget process.

To be considered a Strategic Plan project or program, it must:

- Be a specific two-year project, program, or phase of a project or program designed to advance one of the strategic plan's nine goals.
- Have the budget to conduct the project or program (or a clear phase of it) within two years.
- Have a clear scope of work and timeline.
- Be in addition to "baseline services" departments provide.

In November 2020, departments participated in an exercise identifying a Priority List of items based on Council discussion of its priorities in October. Departments should remove any items from this list which both (1) originated as referrals and (2) are not yet underway. These items will be considered as part of Council ranking of referrals (i.e., re-weighted range voting [RRV]). Departments should use remaining items on the Priority List as the basis of their Strategic Plan projects and programs for FY 2027 & FY 2028.

For each project or program, indicate:

- Strategic Plan Goal which it supports,
- Supporting Departments,
- Title,
- Description,
- Planned start and end dates,
- Whether it's a new or continuing item, and
- Estimated budget

Performance Measures

Performance measures will continue to be a part of the Strategic Plan and the budget process. In terms of the budget process, performance measures will be reported initially in the departmental presentations to the Budget & Finance Policy Committee and in the Budget Book. In the Budget Book, the measures will be shown in summary form in the department chapters and in more detailed form with context and graphics. Your department's Strategic Plan liaison was tasked with providing performance measures data and written context by March 27, 2026.

Please contact the Budget Office and your department's Strategic Plan liaison, with questions or for assistance in documenting and submitting your department's two-year projects and programs.

Capital Improvement Program (CIP) Funding & Planning

The Five-Year Capital Improvement Program (CIP) will be updated in conjunction with the development of the biennial budget. All CIP funding is incorporated as part of the overall department budget. The 5-Year CIP Development Instructions will be forthcoming in December 2026.

Miscellaneous Information

- All Budget related documents mentioned here and other forthcoming documents and communication will be available in CMO-Budget Teams Channel. Please let us know if you need access.
- Budget Instruction Q&A session with Administrative and Fiscal Services Manager and other fiscal staff will be held on the week of October 27, 2025
- The Monthly Departmental Budget meetings will commence in November 2025

Questions and Assistance

The Budget Office thanks you in advance for your assistance. We look forward to another budget cycle of continued collaboration and cooperation in developing the biennial budget.

Please contact the Budget Office for any assistance or questions:

- Maricar Dupaya, Budget Manager, mdupaya@berkeleyca.gov, 981-7024
- Michelle Rosete, Senior Management Analyst, mrosete@berkeleyca.gov, 981-7042
- Angelique Tolliver, Senior Management Analyst, atolliver@berkeleyca.gov, 981-7044